



BANKING COMPANIES (AMENDMENT) ORDINANCE, 2002

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BANKING COMPANIES (AMENDMENT) ORDINANCE, 2002

ORDINANCE CXI OF 2002

An Ordinance further to amend the Banking Companies Ordinance, 1962

WHEREAS it is expedient further to amend the Banking Companies Ordinance, 1962 (LVII of 1962) for the purposes hereinafter appearing;

AND WHEREAS the President is satisfied that circumstances exist which render it necessary, to take immediate action;

NOW, THEREFORE; in pursuance of the Proclamation of Emergency of the Fourteenth day of October, 1999, and the Provisional Constitution Order No.1 of 1999, read with the Provisional Constitution (Amendment) Order No.9 of 1999, and in exercise of all powers enabling him in that behalf, the President of the Islamic Republic of Pakistan is pleased to make and promulgate the following Ordinance:---

1. Short title and commencement.-(1) This Ordinance may be called the Banking Companies (Amendment) Ordinance, 2002.

(2) It shall come into force at once.

2. Amendment of section 3-A, Ordinance LVII of 1962.-(1) In the Banking Companies Ordinance, 1962 (LVII of 1962), hereinafter referred to as the said Ordinance, in section 3A, for subsection (1) the following shall be substituted, namely:-

"(1) The provisions of sections 6, 13, 25, 25A, 25AA, 29, 31, 32, 33, 40, 41, 41A, 41B, 41C, 41D, 42, 47, 48, 49, 51, 58, 83, 84 and 94 shall, with such modification as the State Bank may determine from time to time in relation to activities which have implications for the monetary or credit policies of the State Bank, apply to the Pakistan Industrial Credit and Investment Corporation, the National Development Finance Corporation, the Bankers Equity Limited, the Pak-Libya Holding Company Limited, the Saudi-Pak Industrial and Agricultural Investment Company Limited, the Pak-Oman Investment Company (Pvt.) Limited, the Pakistan Kuwait Investment Company Limited and such other, companies, corporations or institutions or class of companies, corporations or institutions, as the Federal Government may, from time to time, by notification in the official Gazette, specify in this behalf."

3. Amendment of section 5, Ordinance LVII of 1962. In the said Ordinance, in section 5, in clause (a) the words "shares of the Bankers Equity Limited or" shall be omitted.

4. Amendment of section 23, Ordinance LVII of 1962. In the said Ordinance, in section 23, in sub-section (1), after clause (a), the following new clause shall be inserted, namely-

"(aa) the carrying on of banking business strictly in conformity with the Injunctions of Islam as laid down in the Holy Qur'an and Sunnah;"

5. Amendment of section 31, Ordinance LVII of 1962.-(1) In the said Ordinance, in section 31, in sub-section (1),-

(a) in clause (a),-

(i) after the word "currency" the words "or any other currency" shall be inserted; and

(ii) after the words "Banking Company", appearing for the second time, the words "in Pakistan" shall be omitted;

(b) in clause (c),-

(i) after the word "currency" the words "or any other currency" shall be inserted; and

(ii) after the words "Banking Company", appearing for the third time, the words "in Pakistan" shall be omitted.

6. Amendment of section 41A, Ordinance LVII of 1962.-(1) In the said Ordinance, in section 41 A,-

(a) in clause (3), after the word "order", at the end, the words and comma "or for such extended period as may be specified by the Governor, State Bank of Pakistan" shall be inserted; and

(b) in sub-section (4), in clause (a), after the word "specify", at the end, the words and comma "or for such extended period as may be specified by the Governor, State Bank of Pakistan" shall be inserted.

7. Amendment of section 41B, Ordinance LVII of 1962. In the said Ordinance, in section 41B, sub-section (2) after the word "years", at the end, the words and comma "or for such extended period as may be specified by the Governor, State Bank of Pakistan" shall be inserted.

8. Amendment of section 47, Ordinance LVII of 1962.-(1) In the said Ordinance, in section 47, for sub-section (16) the following shall be substituted, namely:-

"(16) In this section, "Banking Institution" and "Banking Company" mean any banking company and includes the National Bank of Pakistan, the Agricultural Development Bank of Pakistan, the Industrial Development Bank of Pakistan, the House Building. Finance Corporation, investment finance companies, venturecapital companies, housing finance companies, leasing companies and any other financial institution covered under section 3A. "

9. Amendment of section 48, Ordinance LVII of 1962. In the said Ordinance, in section 48, for sub-section (7) the following shall be substituted, namely:-

"(7) In this section, "Banking Company" means any banking company and includes the. National Bank of Pakistan, the Agricultural Development Bank of Pakistan, the Industrial Development Bank of Pakistan, the House Building Finance Corporation, investment finance companies, venture capital companies, housing finance companies, leasing companies and any other financial institution covered under section 3A."
